QNN RESEARCH · THORCHAIN · RESEARCH #06

The Price of Neutrality

Why RUNE rises on hacks — and what it pays for it

THORCHAIN

A plain-language breakdown of THORChain: how bridge-free swaps work, the THORFi collapse, TCY, burns, hacks, the FBI, privacy coins and the main question: is there enough “clean” money. 31 slides.

DATA AS OF NOV 10–11, 2026 · NOT FINANCIAL ADVICE

INSIDE

The Binance hack and the FBI request, THORFi and TCY, what ADR 023 is, every hack since 2021, quarterly revenue, competitors and scenarios

Key points in a minute

PRICE

$0.60

RUNE on Nov 10, 2026. All-time high $20.87, down about −97%

MARKET CAP

≈$199M

Almost the whole supply is circulating: market cap ≈ FDV

FEES

$16.5M

All swap fees over the last 4 quarters

MAIN RISK

FBI

Money from Bybit, Bitget and Binance went through the network. The FBI asks to block addresses — the network says no

NETWORK

111 nodes

Each bonds ≥300,000 RUNE and has one vote

REACH

14 chains

Native BTC, ETH, SOL, ZEC and more — no bridges, no wrappers

IN SHORT The network earns real money, but the real question is not price — it is whether regulators let it run

Sources: CoinGecko, DefiLlama, THORChain quarterly reports, Coinranking

What could lift the price, and what could sink it

▲ Could lift

- **Zero issuance:** block rewards switched off in Feb 2025, surplus RUNE burned
- **Privacy coins:** ZEC already trades, XMR is coming, and from July 2027 the EU pushes them off exchanges
- **Cheap on fees:** market cap ≈12× annual fees
- **Product:** own front end with no partner fees, Solana, new DKLS signatures

▼ Could sink

- **Regulators:** after Binance the pressure on nodes is direct — an FBI letter
- **Dirty volume:** spikes arrive with hacks and leave within 2 days
- **Security:** a $10.7M hack in May 2026 and 39 days of downtime
- **Competitors:** NEAR Intents already moves more volume per month

IN SHORT The pluses are in token design and product. The minuses are in who uses the network and who is pressing on it

Sources: THORChain, Chainwire, DefiLlama, Blockworks

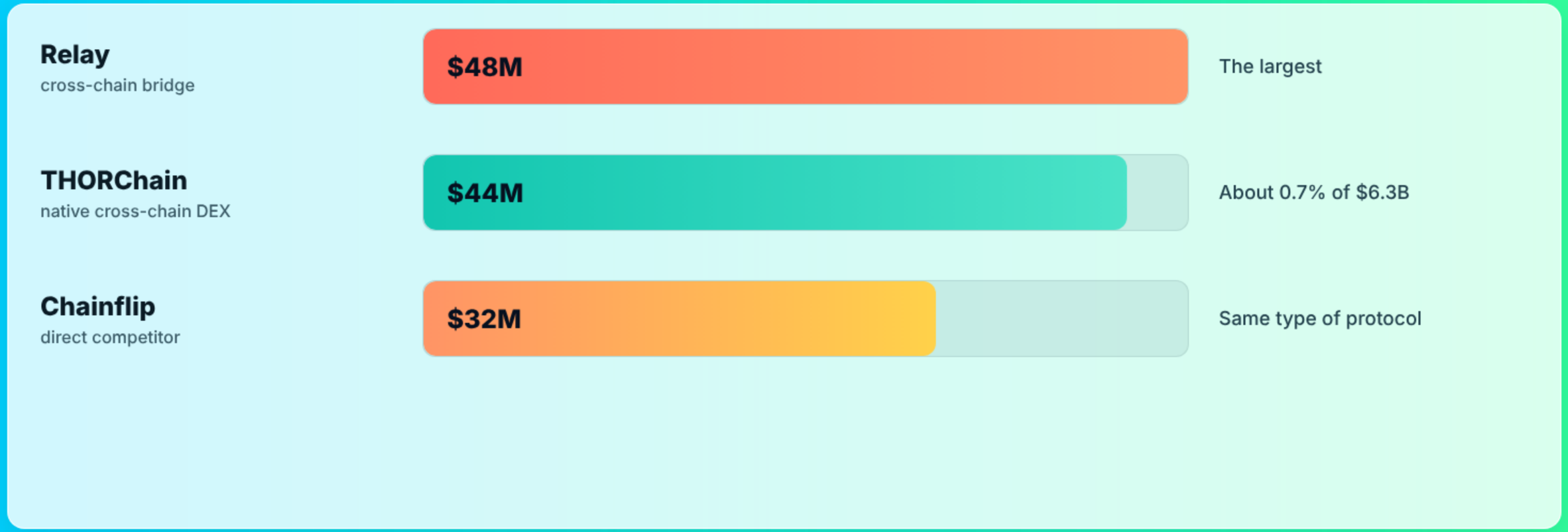
The Binance hack: five days that showed everything

Oct 29	**$6.3B hack**	The largest hack in crypto history. The FBI tied it to the North Korean group TraderTraitor
Oct 30	**RUNE +13%**	The market falls, RUNE rises to $0.67: stolen funds go through THORChain
Oct 31	**FBI request**	The FBI publishes addresses and asks THORChain node operators to block transactions. A request, not a court order
Oct 31	**Network halts**	An Ethereum reorg made the network pay 10 ETH twice; nodes halted 10 chains. Chainalysis: this unintentionally slowed laundering
Nov 2	**RUNE $0.50**	−20% in a day. The whole rally burned off in two days

IN SHORT Five days showed the whole model: someone else's hack → volume up → RUNE up → FBI pressure → pullback

Sources: Cointelegraph, CryptoSlate, CoinGabbar, Forklog (Chainalysis)

Where the Binance money went: no monopoly



IN SHORT THORChain is not the main laundering route, but the most public one: it openly refuses to block anyone

Chainalysis estimate as of Nov 1. Source: Forklog

How THORChain works: swaps without bridges

1

You send BTC

Real bitcoin goes into the network's vault. No wrappers like WBTC

$64M
BTC pool liquidity

→

2

BTC → RUNE

The BTC/RUNE pool swaps bitcoin for RUNE. RUNE sits in the middle of every swap

14 chains
every pair is with RUNE

→

3

RUNE → ETH

The ETH/RUNE pool swaps RUNE for ether

$59M
ETH pool liquidity

→

4

You get ETH

Nodes jointly sign the payout of real ETH to your address

111 nodes
sign together

IN SHORT Every swap goes through RUNE. More swaps — more RUNE needed in pools. That is the demand for the token

Vaults are held by nodes with threshold signatures (TSS): no node has the full key. Bond ≥300,000 RUNE, rotation ~every 3 days. Sources: THORChain docs, DefiLlama

The team: who builds THORChain



JP Thor (Thorbjornsen)

Founder

X: @jpthor ↗

Former Royal Australian Air Force fighter pilot, ran the CanYa ICO in 2017. Ran the project for 6 years under an invented female persona, “Leena”. Now CEO of the Vultisig wallet



Chad Barraford

Technical co-founder

X: @CBarraford ↗

The protocol’s technical lead. After the Binance hack he answered the FBI: node operators hold no data beyond what is public

Nine Realms

Development company

X: @ninerealms_cap ↗

Founded in 2021 by Gavin McDermott, raised $8.5M. Has led core protocol development since 2022



Pluto

Former lead developer

X: @Pluto9r ↗

Left on Feb 27, 2025, when the vote to block Bybit funds was reversed within minutes. A pseudonym, no public face

TCB

Developer and validator

X: @1984_is_today ↗

One of three validators who halted ETH over the Bybit funds. Warned it was becoming a national security issue

Oleg Petrov

THORSwap developer

X: @ol3gpetrov ↗

Explained the mechanics: halting a chain takes 3 node votes, reversing it takes 4. The Bybit vote was reversed “within minutes”

IN SHORT The strength is an experienced core. The weakness is no legal entity and no faces: no one to answer to regulators

Photos: X avatars. Most developers are pseudonymous. MIT Technology Review: “a leader of a blockchain that isn’t supposed to have any leaders”

Timeline: from a hackathon to the FBI

2018
Binance hackathon
The idea and an anonymous team

JULY 2021
Two hacks
$5M and $8M in one week

JUNE 2022
Mainnet
Native BTC/ETH swaps

JANUARY 2025
THORFi collapse
~$200M of debt frozen

FEBRUARY 2025
Bybit
Issuance off, Pluto leaves

MAY 2026
$10.7M hack
39 days without trading

SEPTEMBER 2026
Bitget
Refuses to block hackers

OCT–NOV 2026
ZEC and Binance
Native Zcash, FBI request

IN SHORT Every 1–2 years the project hits a crisis: hacks, the THORFi bankruptcy, laundering. Each time the network survives

Sources: Cointelegraph, The Block, THORChain, Forklog

THORFi: what it was

1 Savers — a “savings account”

Deposit just BTC or ETH and earn yield with no RUNE in the pair. The protocol took the risk

2 Lending — a “zero-interest loan”

BTC/ETH collateral was swapped to RUNE and burned. On repayment RUNE was minted again to buy the collateral back

3 The hidden assumption

It all worked only while RUNE kept up with BTC and ETH. The team’s own post-mortem says so

4 What went wrong

RUNE fell, liabilities grew. By January 2025 the network owed ~$200M, and nodes froze withdrawals

IN SHORT THORFi promised yield without risk, but all the risk was hidden in the RUNE price. When RUNE fell, the scheme broke

Sources: THORChain — THORFi Unwind, The Defiant

The THORFi collapse in numbers

TOTAL DEBT

≈$200M

What the network ended up owing depositors and borrowers

LOANS

$97M

Lending liabilities

SAVINGS

$102M

Savers and synthetic assets

DATE

Jan 23–24, 2025

Withdrawals frozen, debts converted to dollars

PRICE

−37%

RUNE in the week after the freeze

NODES

30+

Validators left the network

IN SHORT THORChain's most expensive failure was not a hack but its own product: $200M of debt

Sources: The Defiant (per TCB), The Block, Bitget News, THORSwap

TCY: debt turned into equity

1

$1 of debt = 1 TCY

Every affected THORFi depositor got TCY for what they were owed

≈210M
TCY issued in total

→

2

10% of network income

Staked TCY holders receive 10% of system income forever, paid in RUNE

10%
forever, in RUNE

→

3

You can sell it

TCY trades in a RUNE/TCY pool: whoever doesn't want to wait sells at a discount

RUNE/TCY
pool seeded by treasury

→

4

Treasury buys back

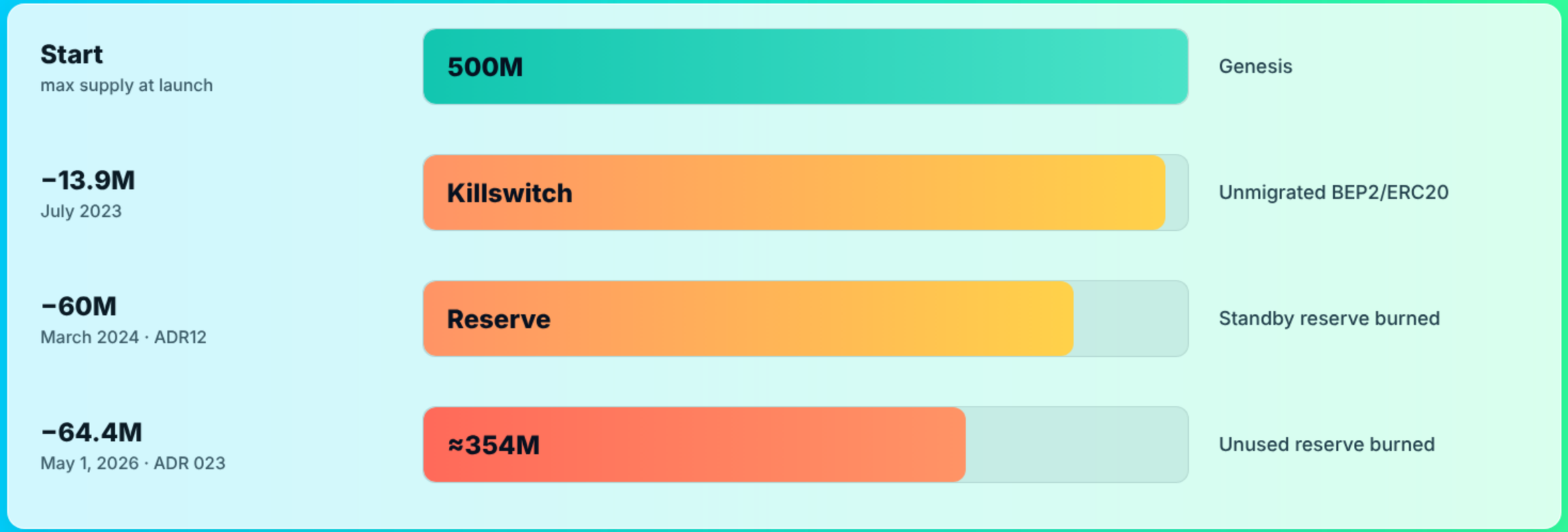
From Sept 2025 the treasury spent six months buying TCY on the market

$5M
buyback over 6 months

IN SHORT The debt was not repaid in coins but turned into a revenue share. For RUNE holders that is ~10% of network income forever

Note: TCY was not given to RUNE holders — only to THORFi creditors. The name stands for THORChain Yield. Sources: dev.thorchain.org, The Block, THORChain

Supply: from 500M to ~354M RUNE



IN SHORT Nearly 140M RUNE burned in 3 years and issuance switched off. RUNE has no inflation any more

Plus a daily burn of part of the fees. Block rewards off since Feb 11, 2025 — no new RUNE is minted. Sources: THORChain, DefiLlama

What ADR 023 is and why it matters

TERM

What an ADR is

Architecture Decision Record — a decision document. THORChain uses it for major protocol changes, and nodes vote on it

ADR
Architecture Decision Record

MAY 1, 2026

What ADR 023 did

Burned 64.4M RUNE from the protocol reserve. Those coins had sat idle since block rewards were switched off

−64.4M
RUNE burned from reserve

RESULT

Why the price didn't move

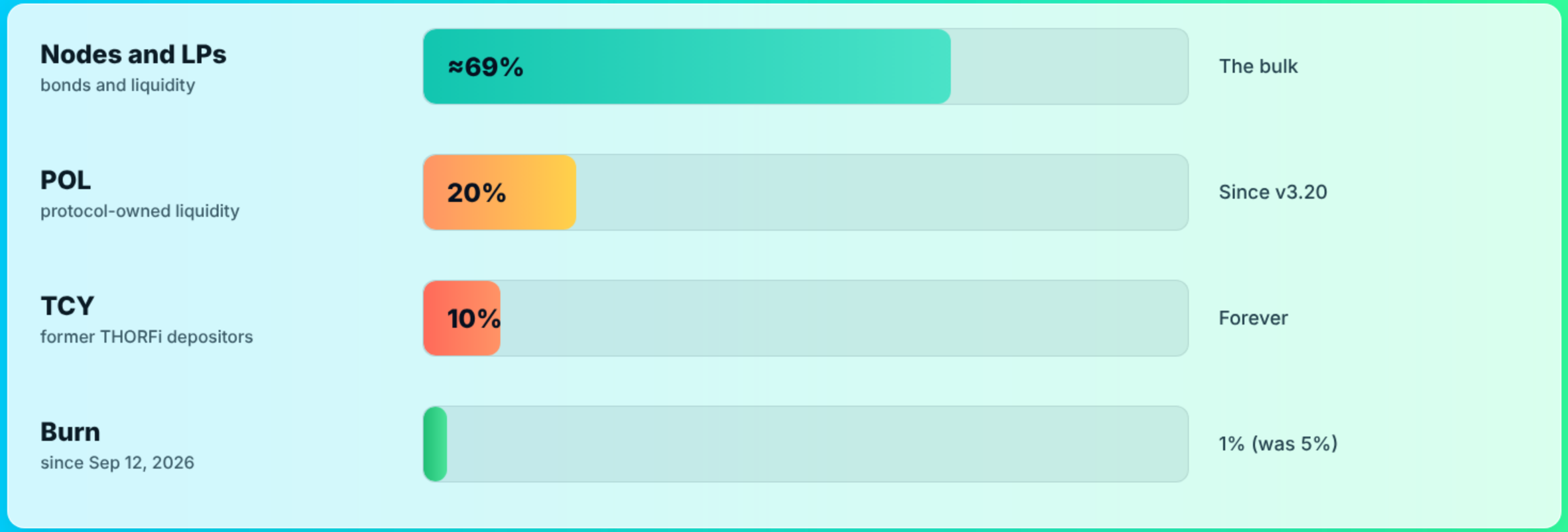
The burned RUNE was not circulating. What changed was not the price but the honesty of the numbers: market cap ≈ FDV now

MC ≈ FDV
almost all RUNE circulates

IN SHORT ADR 023 did not change the price, but made the numbers honest: no hidden stockpile can hit the market

A small buffer was kept in the reserve for operations and emergencies. Sources: dev.thorchain.org (ADR 023), THORChain, OurCryptoTalk

Where the network's fees go



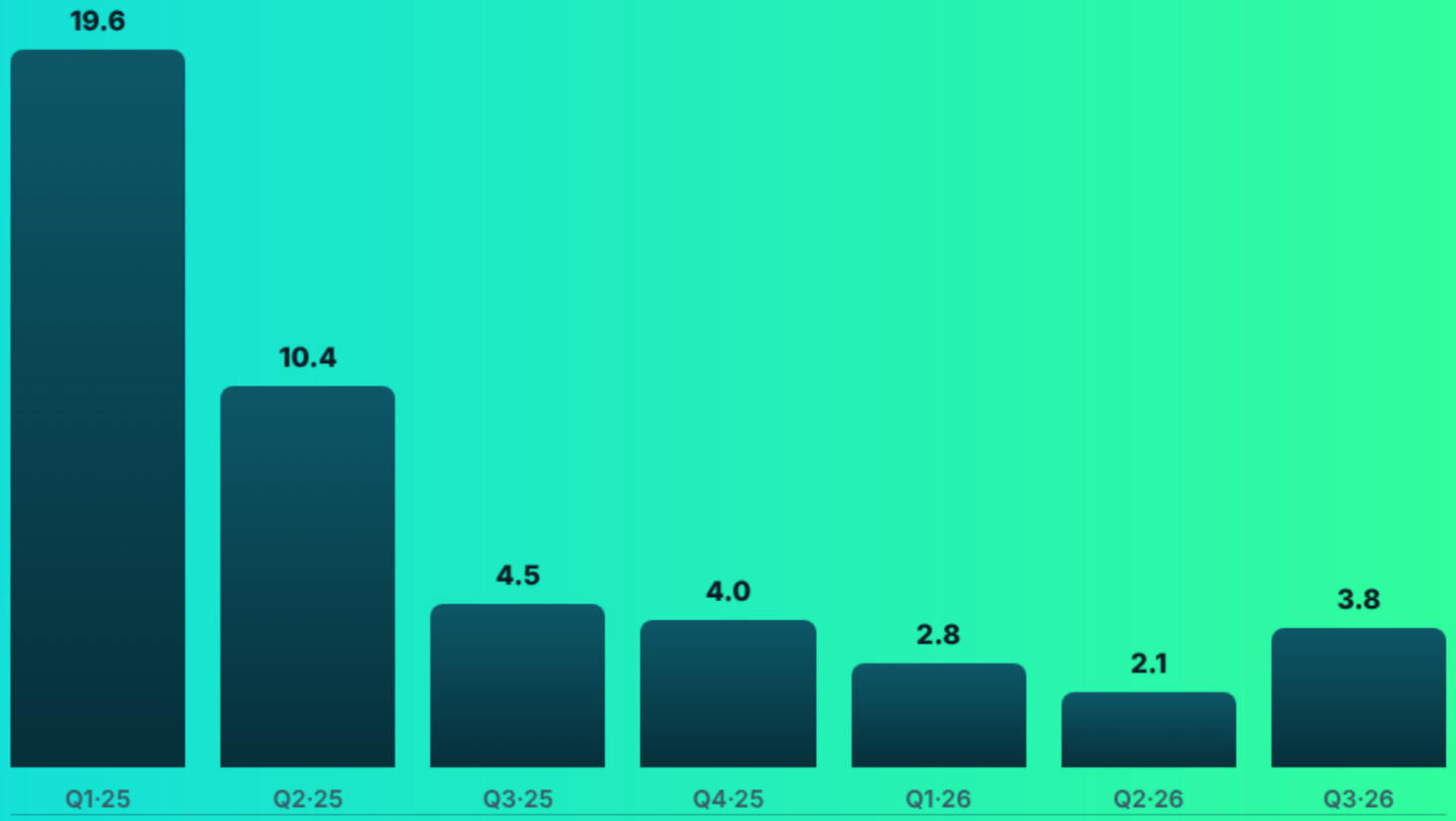
IN SHORT Income goes to those who work: nodes and LPs. Just holding RUNE earns almost nothing

The remainder after POL, TCY and the burn is an estimate [CALC]. Sources: DefiLlama (methodology), Crypto Economy, dev.thorchain.org

Swap volume by quarter, $B

−80%

Volume fell from $19.6B in Q1 2025 to $2–4B a quarter. The Q3 2026 bump was largely Bitget money



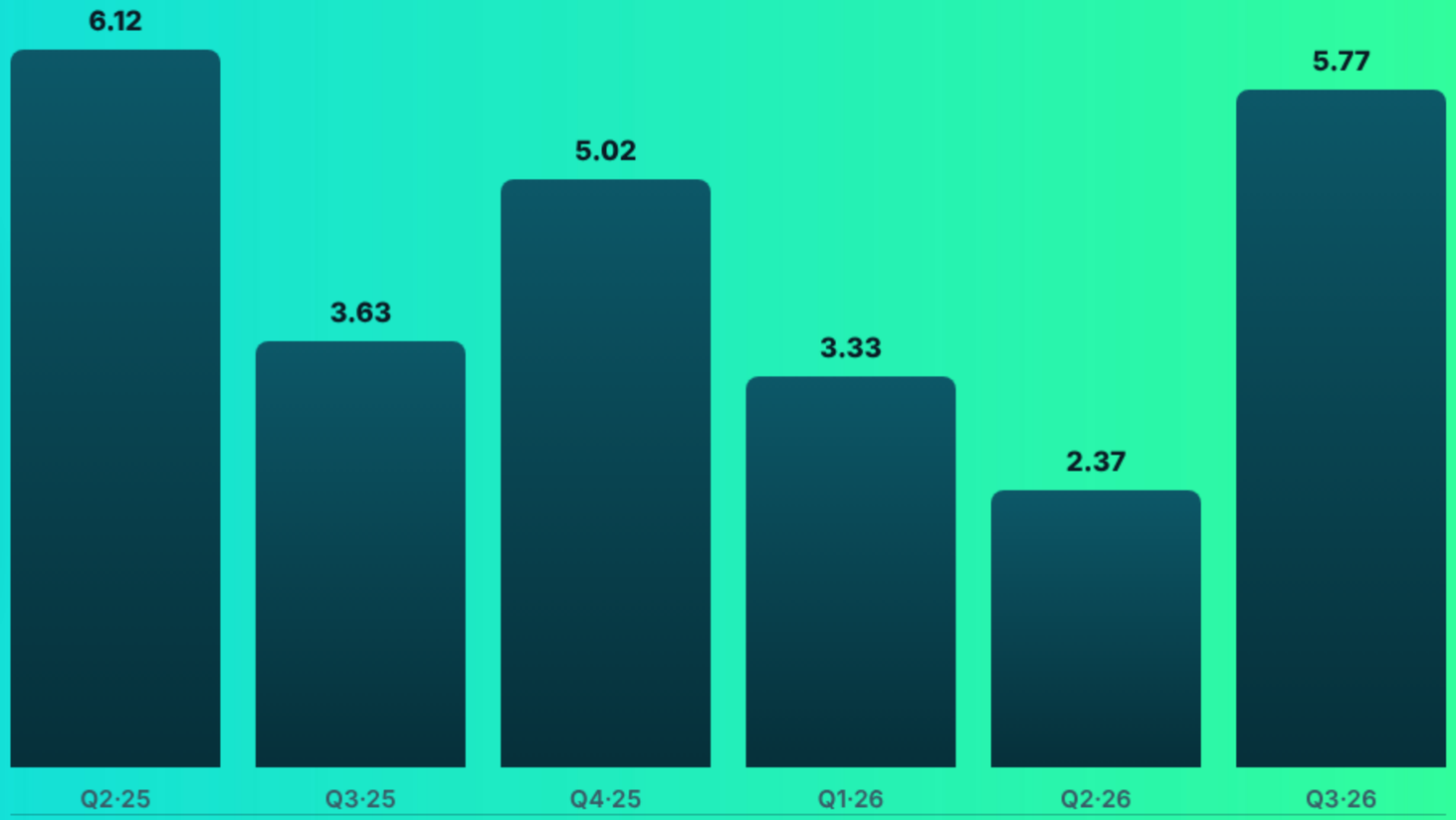
IN SHORT Volume fell 5× in a year and a half. Without exchange hacks the baseline flow is about $2–3B a quarter

Q1 2025 was inflated by Bybit money, Q2 2026 had 5 weeks of downtime. Sources: THORChain quarterly reports

Fees by quarter, $M

$16.5M

Fees over the last 4 quarters. This is income for nodes, LPs, TCY and the protocol — not "profit" for RUNE holders



IN SHORT Fees hold around $4M a quarter. Real revenue, but small for a $200M market cap

Partner front ends earned a separate $0.76–4.6M a quarter. Sources: THORChain quarterly reports

“Clean” and “dirty” volume

36%

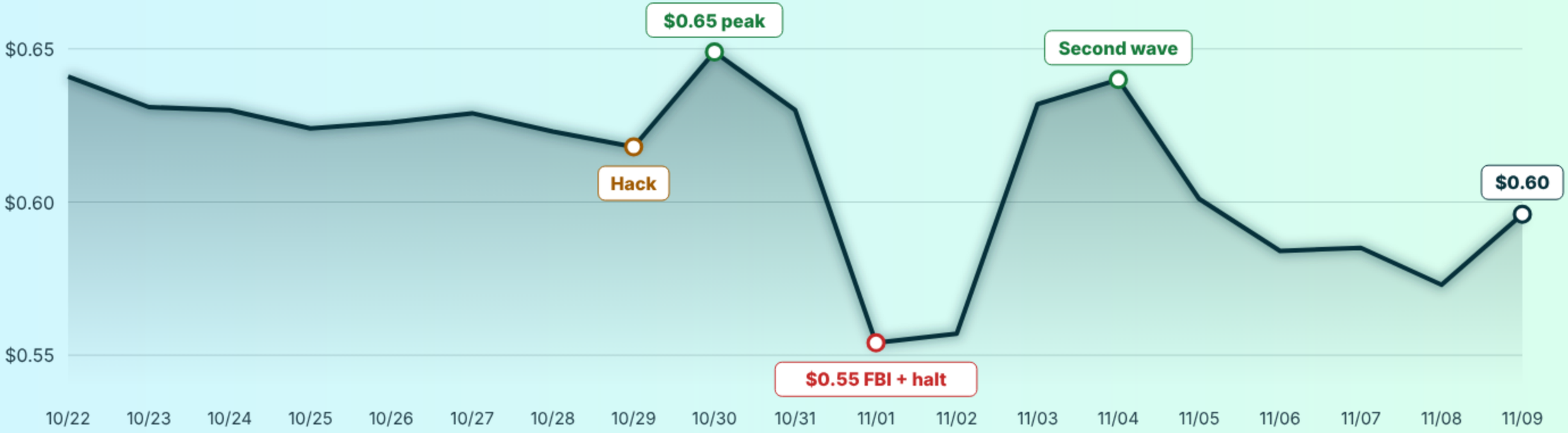
of Q3 2026 volume came in the 5 days of Bitget transfers

- **Bybit, Feb 2025:** record day ≈$860M; hackers ran about $1.2B through the network
- **Bitget, Sept 2026:** $1.38B on Sept 25–29 out of $3.82B for the whole quarter
- **Binance, Oct 2026:** RUNE trading volume rose about 6× in a week
- **Takeaway:** such spikes come and go. Count the baseline flow without hacks

IN SHORT A third of the volume can come from a single hack. That kind of growth is not sustainable demand

Sources: Forklog, Crypto Economy (Q3 report), MIT Technology Review, CoinGecko

RUNE price during the Binance hack



IN SHORT The spike on the hack news lasted one day. A week later the price was back where it started

Daily close, USD. Intraday: high $0.67, low $0.50. Source: CoinGecko

Every THORChain hack and outage

July 2021	$5M	The Bifrost bridge accepted a fake ETH deposit (Rekt I)
July 2021	$8M	An attack on the ETH Router a week later (Rekt II). The treasury covered losses
January 2025	≈$200M	Not a hack but the THORFi bankruptcy: debt turned into TCY
September 2025	$1.35M	North Korea hacked the founder's personal wallet via a fake Zoom link
May 2026	$10.7M	A malicious node stole a vault key (Rekt III), 39 days of downtime
October 2026	10 ETH	Ethereum reorg — double payout, 10 chains halted

IN SHORT Six major incidents in 5 years. Each time the network covered losses without minting new RUNE

Sources: The Block, rekt.news, THORChain, CoinGabbar

The May 15, 2026 hack: how $10.7M was stolen

1. **May 1 — joins Discord**
   The future attacker enters the developer channel
2. **May 13 — becomes a node**
   Posts a bond; his node enters the active validator set
3. **May 15 — rebuilds the key**
   Through a flaw in the GG20 signature scheme he reconstructs a full vault key and drains $10.7M from 9+ chains
4. **8 minutes later — halt**
   Trading is halted. RUNE −26% in two days, restart only on June 23
5. **The ADR028 plan**
   No new RUNE minted: losses covered from protocol liquidity, the attacker's bond burned

IN SHORT The attack took two weeks to prepare and minutes to execute. The weak link was the signature scheme, not the pool code

Sources: THORChain Exploit Report #1, QuillAudits, Blockworks, Cointelegraph

Neutrality: three times “no”

Bybit · Feb 2025	**Vote reversed**	3 nodes halted ETH, 4 more reversed it within minutes. Lead developer Pluto left
Bitget · Sep 2026	**Says no to Bitget’s CEO**	A halt is there to protect the protocol, not to block selectively. Hackers swapped millions
Binance · Oct 2026	**Says no to the FBI**	Barraford: nodes hold no private data. JP Thor: if nodes take the network offline, “the experiment is over”
But	**Saved itself**	After its own hack the network stood still for 39 days. Bitget’s CEO called it a double standard

IN SHORT The network halts to save itself, but not to stop hackers. That is what angers regulators

Sources: Forklog, CryptoBriefing, GovInfoSecurity

Privacy coins: the main opportunity

LIVE

Zcash already trades

The ZEC pool launched on Oct 2, native swaps since Oct 8, 2026. The first cross-chain DEX to do it. The pool is still shallow: from $50K

since Oct 8, 2026
THORChain's 14th chain

SOON

Monero is coming

Support shipped in version 3.20 (August), but the pool launch was delayed for stability. Wallets are getting ready

v3.20
code ready, no pool yet

THESIS

The EU pushes them off exchanges

From July 1, 2027 regulated EU exchanges may not handle XMR, ZEC and DASH. Demand moves to DEXs

07/01/2027
AMLR ban in the EU

IN SHORT Privacy coins are THORChain's strongest growth path — and the biggest target for regulators

The risk is here too: BTC↔XMR swaps without ID checks are exactly what worries regulators. Sources: Chainwire, crypto.news, THORChain, Decrypt

Product in 2026: what got built besides scandals

swap.thorchain.org

Own front end with no partner fee: over $1B of volume in six months

Solana and 14 chains

Native SOL from early 2026, then ZEC. Cardano, Sui, TAO, DASH planned

New signatures

After the GG20 hack — a move to DKLS and FROST

Dynamic fees

ADR-026: pool fees adjust to demand

Rujira

ADR-031: the app layer — limit orders, lending, perps

Intents

On the roadmap. For now the intents market goes to NEAR

IN SHORT The team keeps building: its own front end, new chains, new cryptography. Intents are missing

Sources: THORChain quarterly reports Q1–Q3 2026, THORChain blog

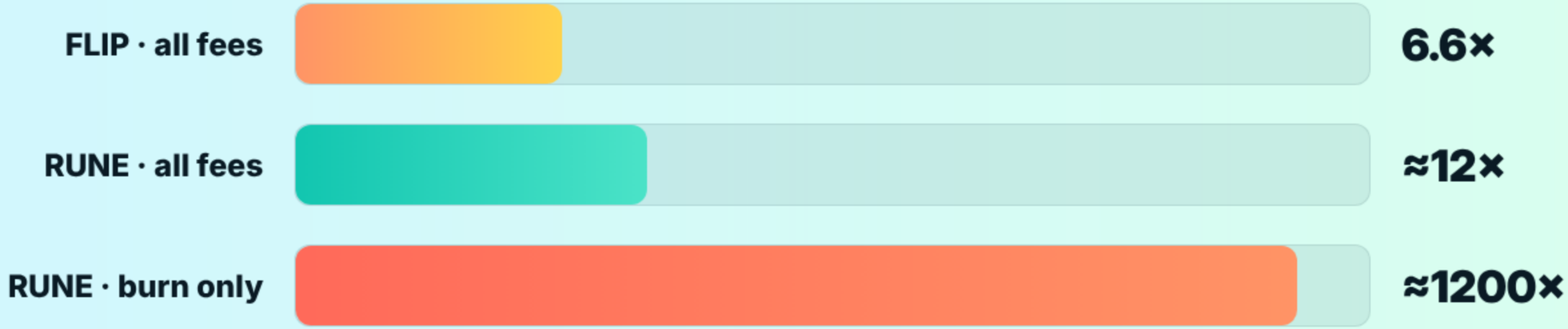
Competitors: swaps across chains

	THORChain	Chainflip	NEAR Intents
Model	**Pools with RUNE**	Pools, JIT	Solvers
Market cap	**≈$199M**	≈$25–30M	Part of NEAR
Monthly volume	**≈$1.3B**	≈$0.3B	$4.5B
Binance money	**$44M**	$32M	—
Blocks hackers	**No**	No data	Yes: ~$50M Bitget
Hacks in 2026	**$10.7M**	$0.74M	$3.8M

IN SHORT NEAR Intents is already bigger by volume and can block hackers. A direct threat to THORChain's position

THORChain volume — Q3 2026 average; Chainflip — August 2026; NEAR Intents — 30 days to Oct 20, 2026. Sources: DefiLlama, Forklog

Valuation: how many years of fees in the price [CALC]



Market cap divided by annual fees. Log scale

Why a 100× gap: of all fees ≈69% goes to nodes and LPs, 20% to POL, 10% to TCY holders. Someone who just holds RUNE in a wallet gets only the burn — 1%. To earn income, RUNE has to be bonded to a node or put in a pool.

IN SHORT On network fees RUNE is cheap. On the income a plain holder receives, it is very expensive

RUNE: $199M / $16.5M. The burn is 1% of fees (5% before Sep 12, 2026). Sources: DefiLlama, Chainflip, THORChain reports

Project risks

CRITICAL

Regulators
The FBI addressed node operators directly. The next step may not be a request

Laundering
CoinDesk called THORChain North Korea's favorite tool. That hits partners and exchanges

Security
6 major incidents since 2021. The new signature scheme is still lightly tested

MEDIUM

Little income for holders
1% of fees is burned, 10% goes to TCY

Competitors
NEAR Intents is bigger by volume and can block hackers

Pseudonymous team
No one to hold accountable — for users or for regulators

IN SHORT One legal blow to the nodes could outweigh every tokenomics plus

Sources: GovInfoSecurity, CoinDesk, rekt.news, DefiLlama

12-month scenarios [HYPOTHESIS]

BAD

≈$0.28

Market cap ~$100M. Sanctions or large nodes leaving, partners cut the network off

BASE

≈$0.56

Market cap ~$200M. $3–4B volume a quarter, spikes on hacks, no legal blows

GOOD

≈$1.41

Market cap ~$500M. Monero live, privacy coins leave EU exchanges, “clean” volume grows

IN SHORT A huge range: from ~$0.28 to ~$1.41. Regulators and Monero will decide, not technical analysis

Price = market cap / ~354M RUNE. An illustration, not a forecast and not advice

Catalysts: what could move the price

▲ At the next node churn	**Monero pool launch**	The code is in since version 3.20, the pool waits for a node churn. Source: THORChain blog
▲ Under way	**Zcash pool growth**	Swaps since Oct 8, 2026, the pool is still from $50K. Source: Chainwire
▲ January 2027	**Q4 2026 report**	Test: fees ≥$5M without hack spikes. Source: THORChain reports
▲ 2026–2027	**Intents on THORChain**	On the roadmap, no dates. Source: Q1 2026 report
▲ 07/01/2027	**EU AMLR ban**	EU exchanges stop handling XMR, ZEC, DASH. Source: Decrypt
▼ Any time	**Response to the FBI request**	Lawsuits or sanctions against node operators. Source: GovInfoSecurity
▼ Under way	**NEAR Intents growth**	$4.5B in 30 days — more than THORChain. Source: DefiLlama

IN SHORT The main upside is Monero and the EU privacy-coin ban. The main downside is regulators and NEAR Intents

▲ — could lift the price, ▼ — could sink it. Dates per sources as of Nov 11, 2026

Eight facts you didn't know

1. The founder ran the project for 6 years under a female persona, "Leena", and only came clean in 2024
2. JP Thor is a former Royal Australian Air Force fighter pilot
3. North Korean hackers hacked the founder himself: $1.35M via a fake Zoom link
4. Halting a chain takes 3 node votes, reversing a halt takes 4. That is how the Bybit block was undone
5. The network cannot stop one specific swap — only the whole network or a whole chain
6. In May 2026 the attacker first joined the developer Discord, then stole $10.7M two weeks later
7. THORFi creditors got not money but TCY — a 10% share of network income forever
8. THORWallet, from THORChain's own ecosystem, integrated a competitor — NEAR Intents

IN SHORT THORChain's story is the story of "neutrality at any cost"

Sources: Cointelegraph, The Block, Forklog, Coinranking, THORChain, CoinMarketCap

What to watch

Response to the FBI

Do nodes leave, do lawsuits or sanctions appear. **Now:** the request is voluntary

Monero launch

XMR pool date and depth. **Now:** code in v3.20, no pool

“Clean” volume

Quarterly volume without hack weeks. **Now:** ≈$2.4B in Q3 ex-Bitget

Q4 2026 fees

Do they hold at $5M a quarter. **Now:** $5.77M in Q3 2026

Node count

A drop is a warning sign. **Now:** 111 nodes, bond ≥300,000 RUNE

NEAR Intents

Is it taking BTC flow away. **Now:** $4.5B in 30 days vs ≈$1.3B

IN SHORT Six simple checks to see in a month where the project is heading

Check in a month: XMR live? Volume without spikes? Regulators’ reaction?

Bottom line

1. RUNE rising on hacks is a sign of liquidity, not health: the money comes and goes within two days
2. Tokenomics became honest: no issuance, the surplus reserve burned, market cap ≈ FDV. But holders get little — a 1% burn
3. Neutrality is the product and the main risk at once. Privacy coins bring an opportunity, regulators a threat
4. In a month: Monero, “clean” volume, nodes and the response to the FBI

Not financial advice. This is an educational breakdown of public data. Crypto can lose all of its value — make your own decisions and only with money you can afford to lose.